

Thangamayil Jewellery Ltd

Concall-tracker report · 11 July 2026 · **NO-CONCALL PATH — web deep-dive**

No earnings-call (concall) transcripts are available on Screener for this company. Thangamayil does not host quarterly analyst calls, so this report is built from a global web deep-dive: the FY26 integrated annual report, quarterly result filings, company website and credible market news. The two verdicts below are drawn from that public record, not from concall transcripts.

1. Snapshot — what the business is

Thangamayil Jewellery is a Madurai-based (Tamil Nadu) retailer of gold, silver and diamond jewellery. It runs a chain of **66 branded showrooms**, all inside Tamil Nadu, and makes money the simple way a jeweller does: buying gold/silver, turning it into ornaments, and selling them at a making-charge markup. There are essentially **no exports** — it is a pure domestic, single-state retailer now pushing into the Chennai metro.

Figure (from Screener)	Value	Plain-English read
Market value (market cap)	Rs 20,329 cr	What the whole company is worth on the stock market today.
Share price	Rs 6,540	One-year high Rs 7,165, low Rs 1,750 — the price has multiplied, a huge run-up.
FY26 sales	Rs 8,499 cr	Total goods sold in the year to Mar-2026, up 73% from Rs 4,911 cr — a very big jump.
FY26 net profit	Rs 352 cr	Money left after all costs and tax, up 196% (nearly tripled) from Rs 119 cr.
Operating margin (OPM)	7%	Profit before interest/tax as a share of sales — thin, as is normal for jewellery, but improved from 4-5%.
Return on capital (ROCE)	25.5%	How much operating profit the business earns on the money put in — genuinely strong.
Price-to-earnings (P/E)	57.5	Rs 57.5 of market value for every Rs 1 of yearly profit — very expensive; priced for fast growth.
Borrowings	Rs 913 cr	Debt to fund gold stock and new stores; debt-to-equity 0.43x — moderate, and it has come down relative to profit.

2. Coverage — sources used

No concall transcripts exist, so the same two questions (is there a durable earning trigger? is management consistent?) are answered from public sources dated across the last ~2 years:

Source	What it gave
FY26 Integrated Annual Report filing (Jun-2026)	Full-year revenue/profit/margin, store additions, Chennai contribution, FY27 expansion plan and funding.
Q3 FY26 & Q4 FY26 result filings	Quarterly revenue/profit direction, EBITDA margin, same-store-sales growth.
Company website (thangamayil.com)	Showroom count and store network.
Market news (Business Standard, Business Today, ScanX, Whalesbook)	Revenue guidance (Rs 7,000 cr raised to Rs 7,500 cr), volume growth by metal, stock rally, valuation, gold-price context.

★ Latest update highlights — FY26 full year & Q4 (results Jun-2026)

- **Blockbuster year:** FY26 revenue Rs 8,499 cr, up 73%; net profit Rs 352 cr, nearly tripled (+196%). Read: the biggest year in the company's history by a wide margin.
- **Q4 alone:** revenue roughly doubled to about Rs 2,830 cr and quarterly profit jumped to about Rs 143 cr from Rs 31 cr a year earlier. Read: growth accelerated into the year-end.
- **Same-store sales up 38%** (vs 18% the prior year) — even shops open more than a year sold far more, so it is not just new-store count driving the numbers.
- **Management's own reason:** the annual report credits growth to "newly operational Chennai outlets AND a sharp escalation in gold and silver prices." Read: a big slice of the jump is simply higher metal prices, not extra ornaments sold.
- **Dividend Rs 18/share** declared; margin (EBITDA) improved to about 6.8% from 4.6%. Tone: confident, expansion-focused.

Business mix & "capacity"

Domestic vs export: ~100% domestic — a single-state Tamil Nadu retailer; exports are negligible/not a business line. Read: all eggs in one region, now spreading toward Chennai.

"Capacity" (a retailer's capacity is its store space): 66 showrooms and ~132,000 sq ft of retail space (up 27% in FY26), with sales of about Rs 6.16 lakh per sq ft (up 36%). Chennai already contributes ~20% of revenue. Headroom to grow = more stores; FY27 Phase-II adds ~9 more Chennai outlets, targeted complete by Dec-2026, with Rs 1,412 cr of bank funding already sanctioned. Read: the growth runway is opening new shops, and it is funded.

3. Earning-trigger thesis

★ The trigger: store expansion into the Chennai metro, on top of strong same-store sales

The one thing the company keeps pointing to is **rolling out new showrooms** — especially entering Chennai, a much bigger and richer market than its Madurai/southern-Tamil-Nadu base. It added 10 stores in FY26, Chennai already contributes ~20% of sales, and a funded Phase-II adds ~9 more Chennai outlets in FY27. Alongside this, existing shops are selling much more (same-store sales +38%). This is a concrete, live, self-funded driver that is visibly playing out. **Big caveat:** the eye-popping FY26 profit was heavily amplified by a sharp rise in gold and silver prices — that part is a windfall, not a repeatable engine, and gold prices can fall as fast as they rose.

Trigger	What management says	Evidence so far	Time horizon	Strength
Chennai / new-store expansion	Phase-II ~9 Chennai outlets in FY27; Chennai to keep lifting top and bottom line	Delivered: 10 stores added FY26, Chennai ~20% of revenue, funding sanctioned	1-3 years	Moderate-to-Strong — real and funded, but new metro stores must prove they earn, not just open
Same-store-sales growth	Deeper penetration, more non-gold (diamond/silver) mix	SSS +38% FY26 vs +18% FY25; diamond volume +28%, silver +24%	Ongoing	Moderate — strong, but partly flattered by high gold prices inflating ticket sizes
Gold/silver price surge (FY26 windfall)	Not a strategy — a tailwind they acknowledge	Drove much of the +196% profit jump	Unpredictable	Weak/not durable — a price windfall, can reverse

4. Management consistency scorecard

Period	What was promised / guided	What actually happened	Verdict
FY26 revenue guidance	Rs 7,000 cr, later raised to Rs 7,500 cr	Delivered Rs 8,499 cr — beat even the raised target (gold prices helped)	Delivered
FY26 store rollout	Continue expansion, enter Chennai	10 new stores opened; Chennai now ~20% of sales	Delivered
Margin improvement	Scale + Chennai + more non-gold to lift margin	EBITDA margin rose to ~6.8% from ~4.6%	Delivered
FY27 Phase-II Chennai (9 outlets)	Complete by Dec-2026, Rs 1,412 cr funded	Announced; not yet delivered	Too-early

Narrative drift: Minimal. The story has stayed steady for years — open more disciplined stores, grow same-store sales, keep debt manageable — and the 5-year record backs it (revenue up ~40%/year, profit up ~74%/year on average). They beat their own raised guidance rather than quietly walking it back. The honest asterisk is that FY26's headline numbers lean heavily on a gold-price windfall the company openly acknowledges, so the delivery looks even better than the underlying execution alone. One governance note: promoter holding slipped from ~67% to ~61.6% over two years (dilution/QIP), while institutions (mutual funds now ~17%) have been buying.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a real, concrete, still-live driver: disciplined new-store expansion led by the Chennai entry, backed by strong same-store sales and already-sanctioned funding. It is visibly playing out (Chennai ~20% of revenue). The "yes" is tempered by one thing you must not ignore: a large part of FY26's spectacular profit jump came from surging gold and silver prices, a windfall that will not repeat every year — so the underlying, repeatable growth is solid but far slower than the +196% headline suggests.

Management consistent? → YES

Management said it would expand into Chennai, lift margins and grow — and it did, even beating its own raised revenue target. The multi-year record (steady ~40% revenue CAGR, controlled debt) shows the same story delivered again and again, with no obvious drift. Caveats kept honestly in view: public target history is short (no concalls to cross-examine), and part of the beat rode gold prices rather than pure execution.

Sources: Thangamayil FY26 Integrated Annual Report filing; Q3/Q4 FY26 result filings; Screener.in financials; thangamayil.com; Business Standard, Business Today, ScanX, Whalesbook (Jun-Jul 2026). This is not investment advice — do your own due diligence. Generated 11 Jul 2026 (NO-CONCALL web deep-dive; no concall transcripts available on Screener).